2. Current assets	
(a) Inventories	1,60,000
(b) Trade debtors	3,20,000
(c) Cash and cash equivalents	80,000
(d) Other current assets	
Prepaid expenses	40,000
Total	**10,00,000**

Calculate:

(i) Current ratio (ii) Quick ratio

(Answer: (i) Current ratio: 1.5:1; (ii) Quick ratio: 1:1)

Long term solvency ratios

4. From the following information calculate debt equity ratio.

Balance Sheet (Extract) as on 31st March, 2019

Particulars	Amount ₹
I. EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	
Equity share capital	6,00,000
(b) Reserves and surplus	2,00,000
2. Non-current liabilities	
Long-term borrowings (Debentures)	6,00,000
3. Current liabilities	
(a) Trade payables	1,60,000
(b) Other current liabilities	
Outstanding expenses	40,000
Total	**16,00,000**

(Answer: Debt equity ratio: 0.75:1)

5. From the following Balance Sheet of Sundaram Ltd. calculate proprietary ratio:

Balance sheet of Sundaram Ltd. as on 31.3.2019

Particulars	Amount ₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	
(i) Equity share capital	2,50,000
(ii) Preference share capital	1,50,000
(b) Reserves and surplus	50,000
2. Non-current liabilities	
Long-term borrowings	-
3. Current liabilities	
Trade payables	1,50,000
Total	**6,00,000**

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